



EQUITY RESEARCH REPORT

JK CEMENTS LTD

BSE: 532644I
NSE: JKCEMENT



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@synergy_sscbs



About Us

Synergy, established in **2009**, is driven by a singular mission: to bridge the gap between **academia and corporate life**. As a member-centric society, our aim is to nurture future leaders and foster professional growth by providing unique opportunities for **learning and development** across various fields including **Consulting, Finance, and Marketing**. Through our programs, we offer a headstart to our members by engaging them in real projects with professional **organizations** and **startups**, exposing them to diverse experiences and expanding their skillsets.

What sets us apart is our **student-run investment fund**, offering hands-on experience in **equity research and portfolio management**, along with the publication of in-depth research reports on emerging sectors and business trends. We also host flagship **national case competitions and management conclaves**, attracting top talent from across India to test their strategic thinking and corporate acumen. Together, these initiatives foster a culture of innovation and position Synergy as a breeding ground for future business leaders.

Our Vision

Synergy aspires to bridge the gap between academia and industry by fostering **practical knowledge** and providing comprehensive exposure across consulting, finance, marketing, and operations, encompassing the full spectrum of corporate life. Through hands-on **consulting projects**, a dynamic **investment fund**, and the **publication** of insightful industry and equity research reports, we aim to cultivate a vibrant learning ecosystem.

Additionally, we organize **national-level corporate events** and **case competitions**, showcasing the exceptional talents of our members, many of whom are **winners** of global competitions and are interning or placed at top-tier companies worldwide, and studying at prestigious **IIMs**. Our vision is to empower future leaders by integrating real-world experience with academic rigor, creating a transformative platform that nurtures **professional growth and industry readiness**.

Objective

- To assess **J.K. Cements Ltd.** financial well-being by examining its revenue **growth, profitability, and capital utilization** across recent fiscal years.
- To review the **performance and future prospects** of J.K. Cements major business **segments** considering industry trends and macroeconomic conditions.
- To determine the **intrinsic value** of J.K. Cements using suitable **valuation techniques** and deliver a comprehensive analysis.



Financial Highlights : Executing Expansion

- JK Cement’s stock has underperformed broader indices and leading cement peers during September–February FY26 (month-to-date), primarily due to margin contraction and concerns regarding elevated capacity additions in its core North and Central markets over the next two years.
- Despite near-term pressures, operational performance remains resilient. The company has delivered robust volume growth, demonstrated strong execution capabilities, gained market share, and completed expansion projects on schedule. Recently, JK Cement commissioned 6.0 million tonnes per annum (mtpa) of grey cement capacity in the Central and Bihar markets.
- The North and Central cement markets remain structurally attractive, supported by sustained infrastructure spending and steady housing demand.
- Although headline capacity expansion announcements remain elevated, actual execution timelines and commissioning schedules will determine the extent of oversupply risk.

Management Commentary and Future Outlook

- Reported strong year-on-year volume growth, supported by healthy demand across infrastructure and housing segments in core North and Central markets despite regional pricing softness.
- EBITDA margins moderated due to pricing pressure, cost inflation, and product mix changes, partially offset by operational efficiencies and improved fuel optimisation initiatives.
- Capacity expansion programme progressing as scheduled, with recent commissioning of new grinding units and ongoing ramp-up expected to drive incremental volumes and market share gains.
- Management maintains constructive outlook, supported by infrastructure spending, seasonal demand recovery, disciplined cost control measures, and expected margin improvement over the coming quarters.
- Balance sheet remains comfortable with prudent leverage levels, secured limestone reserves, and disciplined capital allocation, supporting sustained expansion, cost stability, and long-term earnings visibility.

Bloomberg	JKCE IN
Equity Shares (m)	77
M.Cap.(INRb)/(USDb)	456.8 / 5
52-Week Range (INR)	7566 / 4219
1, 6, 12 Rel. Per (%)	0/-23/18
12M Avg Val (INR M)	703

Financials &Valuations (INR b)			
Y/E MARCH	FY26E	FY27E	FY28E
Sales	136.8	153.8	174.4
EBITDA	24.5	28.7	33.7
Adj. PAT	10.5	12.0	14.8
EBITDA Margin (%)	17.9	18.7	19.3
Adj. EPS (INR)	135.1	155.1	190.2
EPS Gr. (%)	30.5	14.8	22.7
BV/Sh. (INR)	904	1,040	1,211
Ratios			
Net D:E	0.8	0.9	0.6
RoE (%)	16.0	16.0	17.0
RoCE (%)	10.6	10.6	11.3
Payout (%)	11.5	12.9	10.5
Valuations			
P/E (x)	43.7	38.1	31.1
P/BV (x)	6.5	5.7	4.9
EV/EBITDA(x)	20.1	17.4	15.0
EV/ton (USD)	157	161	134
Div. Yield (%)	0.3	0.3	0.3
FCF Yield (%)	(1.6)	(1.7)	3.7

Shareholding pattern (%)			
As On	Dec-25	Sep-25	Dec-24
Promoter	45.7	45.7	45.7
DII	22.5	21.8	23.7
FII	17.9	18.6	16.9
Others	14.0	14.0	13.7
FII Includes depository receipts			



World Macroeconomic Analysis

The global economy in **2026** is projected to expand at a moderate pace of **3.1%**, reflecting stable yet uneven recovery across regions. Growth remains polarized, with **Emerging Market and Developing Economies (4.0%)** significantly outperforming **Advanced Economies (1.6%)**, driven by stronger infrastructure investment, capital formation, and demographic momentum in emerging regions.



Since the establishment of the WTO, world trade volumes and values have expanded at long-term average rates of **4% and 5%**, respectively, supporting cross-border industrial activity. However, geopolitical tensions, supply-chain realignments, and regional trade fragmentation continue to create cost pressures, particularly for energy-intensive industries.

The **engineering and construction sector**, contributing nearly **13% of global GDP** and employing over **100 million people**, remains a key structural driver of cement demand. The global construction market is projected to expand from **US\$11.39 trillion in 2024 to US\$16.11 trillion by 2030**, ensuring medium-term demand visibility.

The global cement market, valued at **US\$384 billion in 2025**, is expected to grow at a steady **3.3% CAGR through 2034**, supported by urbanization and infrastructure expansion in emerging economies. **Asia-Pacific** accounts for approximately **67% of global cement consumption**, although structurally, demand is gradually shifting away from China toward high-growth regions such as **South Asia and Sub-Saharan Africa**.

The competitive landscape remains intense. Global leaders such as **Holcim, Heidelberg Materials, CEMEX, Dangote Cement, and Anhui Conch**, intensifying pricing and capacity expansion pressures.



Global financial conditions remain volatile despite a sizeable global equity market capitalization of **US\$123.6 trillion in 2025**. Elevated geopolitical risks, energy price volatility, and supply-chain disruptions continue to pose structural margin risks for cement manufacturers.

Overall, while global macro trends support steady volume growth, cost volatility and competitive intensity remain key margin determinants for **JK Cement Ltd**.



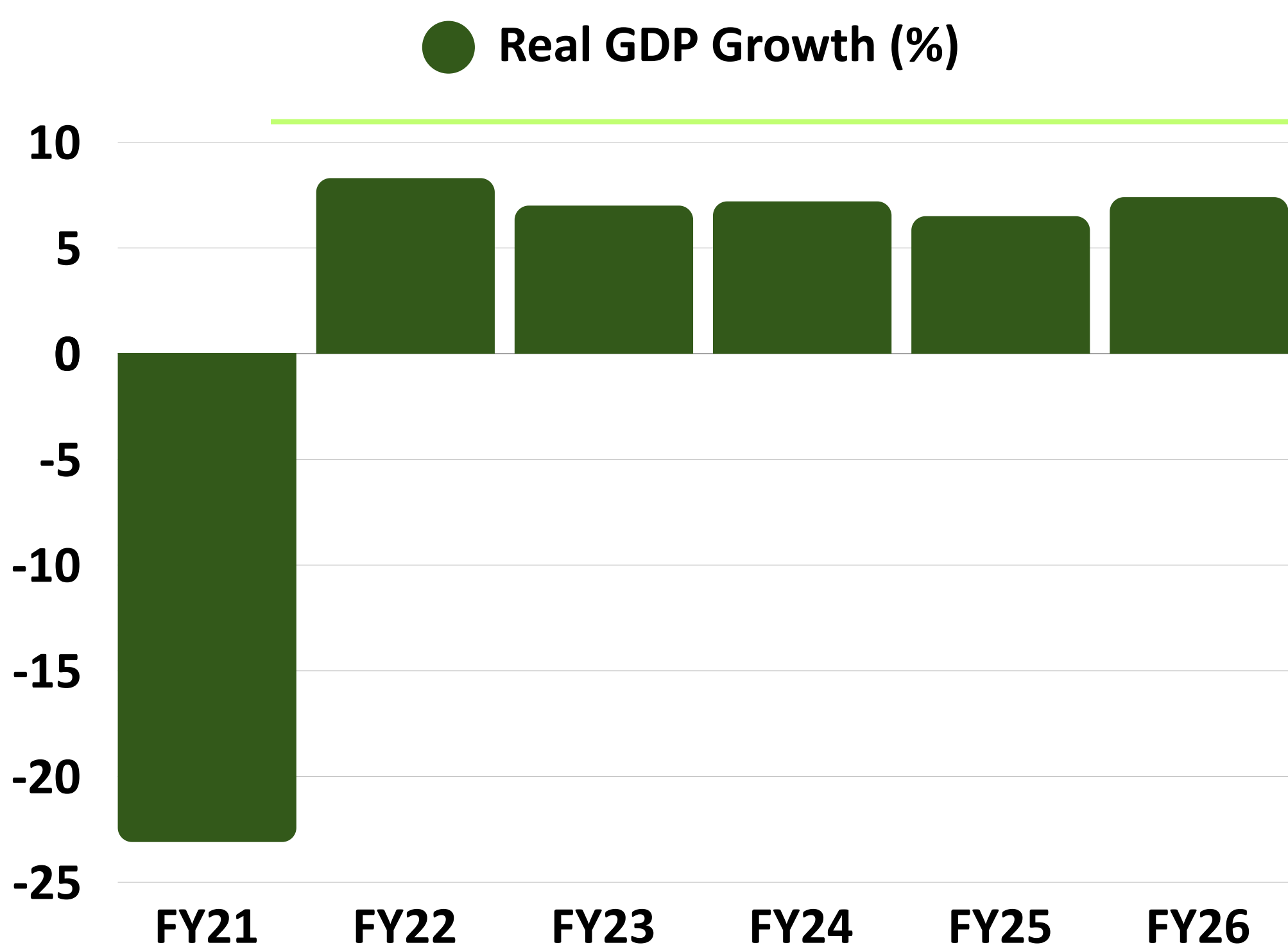
Indian Economic Analysis

Indian Economy (2026)

India's macroeconomic backdrop remains **robust but nuanced**, anchored by real **GDP growth of 7.4%** in **FY25** (Q3 accelerating to 8.2% y-y) and **7.0-7.3% projected for FY26**, maintaining above-trend momentum. **Industrial Production** rose **7.8% y-y** in December 2025, with **Manufacturing PMI** above **55** in January 2026, indicating **continued factory expansion**. **WPI inflation** moderated to **+0.8% y-y**, down sharply from peaks of **14.3% in FY23** (through 6.0% in FY24, 1.5% in FY25), signaling **easing input-cost pressures**, critical margin relief for cement manufacturers. **Unemployment** fell to **3.2%** (usual-status basis), though **urban unemployment** hovers near **6.7-6.8%**, highlighting **labor-market frictions**.

The **Union Budget 2026-27** targets **fiscal deficit of 4.3% of GDP** with **gross market borrowings of ₹17.2 lakh crore**, while the **Centre's debt-to-GDP ratio** eases to **55.6%** in FY26-27 (down from 89.6% in FY21). **Public capex** exceeds **₹12 lakh crore** in **FY27**, prioritizing **infrastructure** including dedicated freight corridors, national waterways, and urban-connectivity projects, directly **benefiting cement demand**. This **sustained infrastructure** thrust supports **steady construction activity** and **cement consumption growth** across key segments.

Forex reserves at **USD 600-620 billion** provide **buffer amid geopolitical tensions** and **U.S. tariff shocks**, while the rupee remains relatively **stable**. Equity markets show resilience, **Nifty 50** delivered **11-12% total return in FY25**, supported by strong earnings and elevated foreign inflows. **Sector rotation** toward financials, industrials, and capex-linked names positions cement manufacturers like **JK Cements favorably**, as benign **input costs** and **robust infrastructure** spending create a **supportive environment** for **margin expansion** and **volume growth**.



India's economy is settling into a **steady high-growth phase**. Following a **-23.1% contraction** in FY21 and strong **rebounds of 8.3%** in FY22 and **7.2%** in FY24, growth is **stabilizing**. While **FY25** moderates to **6.5%**, the projected **rise to 7.4%** in FY26 signals **renewed momentum** driven by robust **domestic consumption**, **government capex**, and **sustained industrial activity**.



Company Overview

About J.K. Cement Ltd.

J.K. Cement Ltd is one of **India's leading cement manufacturers** with an installed grey cement capacity of **31.26 MnTPA** and white cement capacity of **1.12 MnTPA**. Established in **1975**, the company operates through three key business segments: **Grey Cement, White Cement & Wall Putty, and Paints**. JK Cement is part of the JK Organisation, an Indian industrial conglomerate originally established by **Lala Juggilal Singhanian and his son Lala Kamalpat Singhanian** whose leadership and vision helped build India's industrial base in the early 20th century. The "J" and "K" in JK trace back to these pioneers, and the cement business carries forward their legacy of enterprise and self-reliance. It's **vision** is to be the **preferred manufacturer of cement and cement-based products** that partners in nation-building, engages with its community and cares for all stakeholders

Brand Portfolio

Grey Cement Division

The Grey Cement division is the **cornerstone** of JK Cement's operations, accounting for the majority of revenues. With 31.26 MnTPA capacity across **12 manufacturing facilities**, the division reported 16% YoY volume growth in Q2 FY26. Capacity utilization stood at **64% for cement and 67% for clinker** in Q2 FY25, influenced by operational disruptions at Muddapur. Key facilities include **Nimbahera** (flagship, 1975), **Muddapur** (state-of-art, 3.5 MnTPA), **Panna** (Nov 2022, 2.64 MnTPA clinker), and recently commissioned Prayagraj unit (June 2024, 2.0 MnTPA). Management projects **6-8% volume growth for FY25, with FY25 capex of ₹1,900 crores and FY26 capex of ₹1,800 crores**.

White Cement & Wall Putty Division

JK Cement is a **global leader in white cement** with 1.12 MnTPA capacity in India and 1.33 MnTPA wall putty capacity. The division holds **45-48% market share in white cement and 22% in wall putty**, with products exported to **36 countries**. The company pioneered India's **first limestone-based white cement plant in 1984** at Gotan, Rajasthan. In Q2 FY26, the segment achieved 10% YoY growth in combined white cement and wall putty sales. Both JK White Cement and JK Wall Putty were **awarded Superbrand status in 2019**. The company operates international facilities through **JK Cement Works (Fujairah) FZC** with 0.6 MnTPA white cement capacity. However, the segment faces competitive pressures from aggressive pricing, particularly in the putty segment. In **July 2025, the board approved significant investments** to expand white cement and wall putty operations in India.

Paint Business (JKMaxx Paints)

JK Cement entered the paint business through **60% acquisition of Acro Paints Ltd in 2019**, marketing products under the JKMaxx Paints brand. The division targets revenue of **₹250-300 crore in FY25 and ₹450-500 crore by FY25-26**, with a long-term **FY30 TSR target of 25%**. Currently in growth phase, the business is expected to report marginal losses in FY25-26 due to marketing spend and limited scale. Management projects **Q1 FY25 revenue over ₹150 crore**, focusing on topline growth while building brand presence and distribution networks.



Manufacturing and Operations

Manufacturing Plants in India

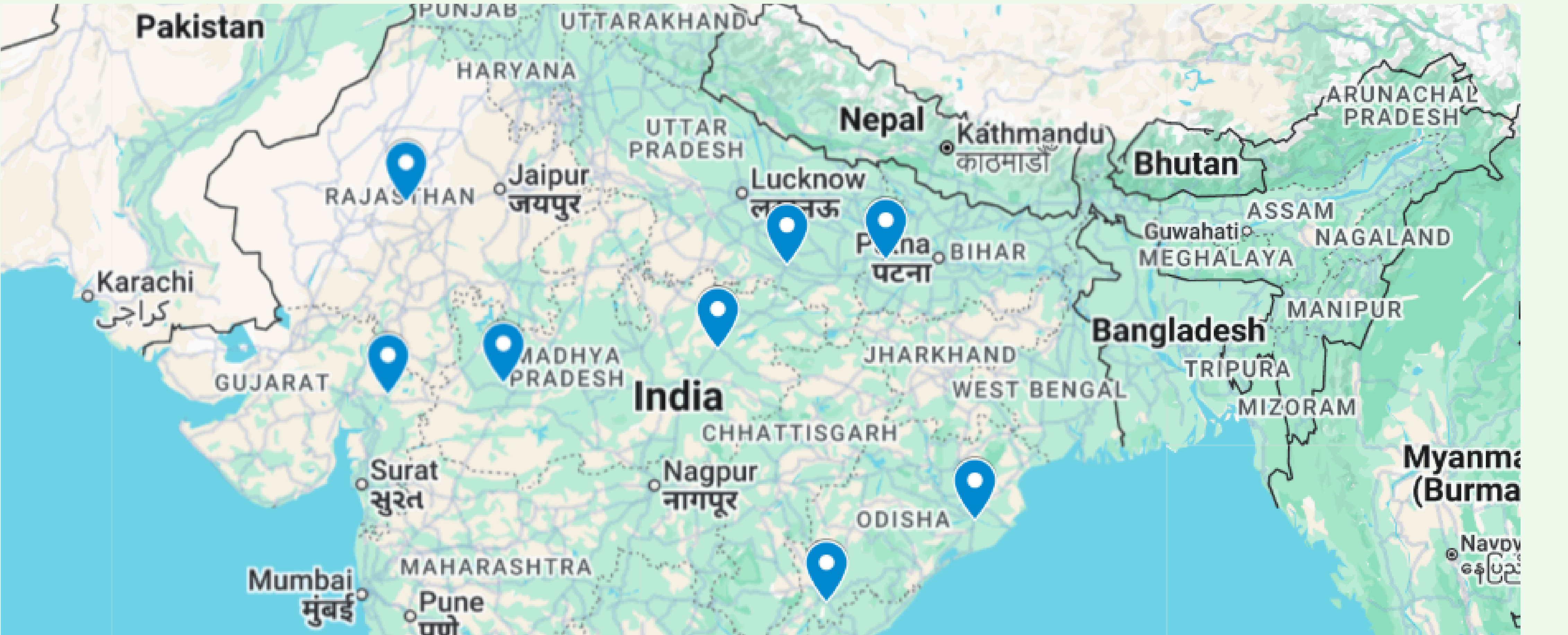
JK Cement operates manufacturing plants across **eight states** in India. In Rajasthan, it has its flagship integrated grey cement plant at **Nimbahera** (Chittorgarh, commissioned 1975) and another integrated plant at **Mangrol** (commissioned 2001), both in **Chittorgarh district**, along with the country's first limestone-based White Cement plant at Gotan (commissioned 1984). In **Karnataka**, the integrated plant at Muddapur (Bagalkot district) has a capacity of 3.5 MnTPA. In **Haryana**, there is a split grinding unit at Jhajjar (1.5 MnTPA), and in Uttar Pradesh, grinding units operate at Aligarh (1.5 MnTPA), **Hamirpur** (2 MnTPA, commissioned October 2022), and **Prayagraj** (3 MnTPA, commissioned June 2024). **Madhya Pradesh** hosts an integrated plant at Panna (2 MnTPA cement, commissioned November 2022), a grey cement grinding unit at Katni (2 MnTPA), and another grinding unit at **Ujjain** (1.5 MnTPA, commissioned November 2023). In **Gujarat**, a grinding unit at Balasinor has a capacity of 0.7 MnTPA. In **Odisha**, acquired through Toshali Cement, there is an integrated unit at Koraput and a grinding unit at Cuttack. Most recently, in Bihar, a brand-new 3 MnTPA plant was commissioned at Buxar in January 2026, taking JK Cement's **total grey cement capacity to 31.26 MnTPA** across India

Manufacturing Process

The manufacturing process at JK Cement plants follows eight structured steps: **Mining → Crushing → Grinding → Fuel Preparation → Kiln Operations → Cement Grinding → Packing Process → Loading Process**. At the raw mill, crushed limestone, clays and feldspar are fed through electronic weigh feeders. The **clinkerisation stage** is the heart of the process, where raw material is fed into a pre-heater and then into the kiln. **Clinker and gypsum** are ground ball mills, with a high efficiency separator in controlling the fineness of the cement. The **finished product** is stored in **cement silos** before packing and dispatch.

Certifications Across Plants

All JK Cement units hold **ISO 9001 (Quality Management)** and **ISO 14001(Environmental Management)**
The White Cement plant at Gotan additionally holds **OHSAS 18001 (Occupational Health & Safety)**
JK White Cement also carries the CE Mark (European Conformity), enabling its acceptance in European markets





Industry Overview

Global Cement Industry

Industry Size (2025)

The **global cement industry** is a critical pillar of **infrastructure and construction** activity worldwide. In 2025, the global cement market is estimated at approximately **USD 430-440 billion**, driven primarily by demand from **residential construction, infrastructure development, and urbanization** in emerging economies. Cement consumption remains closely correlated with **GDP growth, public infrastructure spending, and housing demand**, particularly in Asia-Pacific, which accounts for the largest share of global volumes.

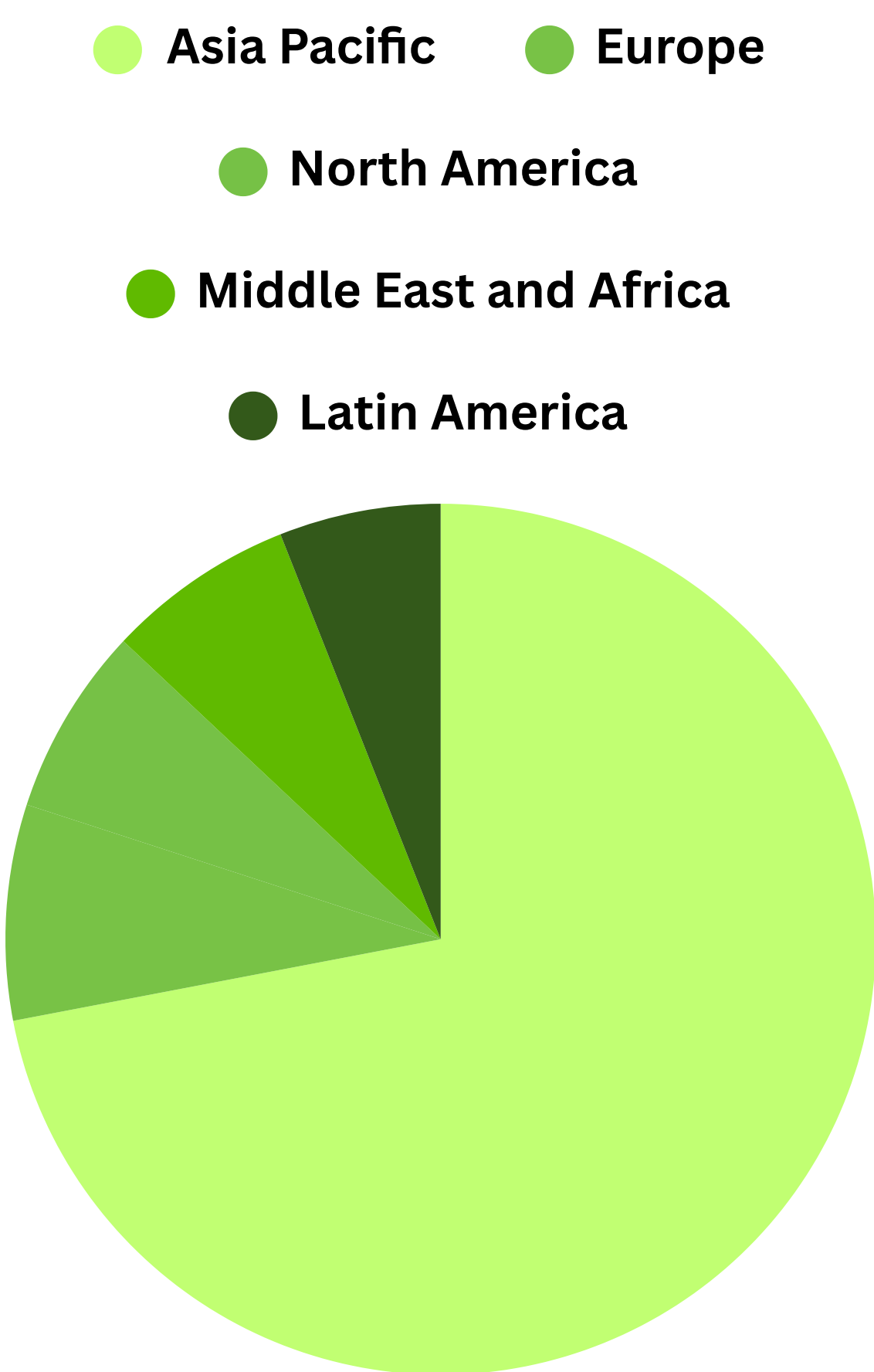
The **Asia-Pacific** region dominates the global cement market, contributing **nearly 60%** of total consumption, led by **China and India**. **Europe and North America** together account for **roughly 25-28%**, while the Middle East & Africa and Latin America contribute the balance. The sector remains **volume-driven, capital-intensive, and highly sensitive to energy costs** and regulatory norms related to emissions and sustainability.

The global cement industry is projected to grow at a **CAGR of 4-5% between 2025 and 2035**, supported by **infrastructure-led growth** in developing economies, post-pandemic recovery in construction activity, and increased focus on affordable housing. However, growth in developed markets is expected to remain muted due to saturation and stricter environmental regulations.

Industry Growth Drivers

- **Infrastructure expansion** in emerging economies, accounting for **over 45% of incremental demand**
- **Urban housing and real estate** development
- Government-led **investments in roads, railways, and industrial corridors**
- Transition toward **blended and green cement products**

GLOBAL MARKET SHARE BY REGION





Industry Competition and Peer Analysis

Growth Outlook

The Indian cement industry is expected to grow at a **CAGR of 6.5-7.5% from FY25 to FY30**, supported by: Government infrastructure initiatives such as **PM Gati Shakti, Bharatmala, and Smart Cities Mission**
Affordable housing under PMAY
Urbanization and rising per capita cement consumption Capacity additions announced by major players are expected to keep **supply ahead of demand** in the near term, **resulting in heightened competition and margin pressure.**

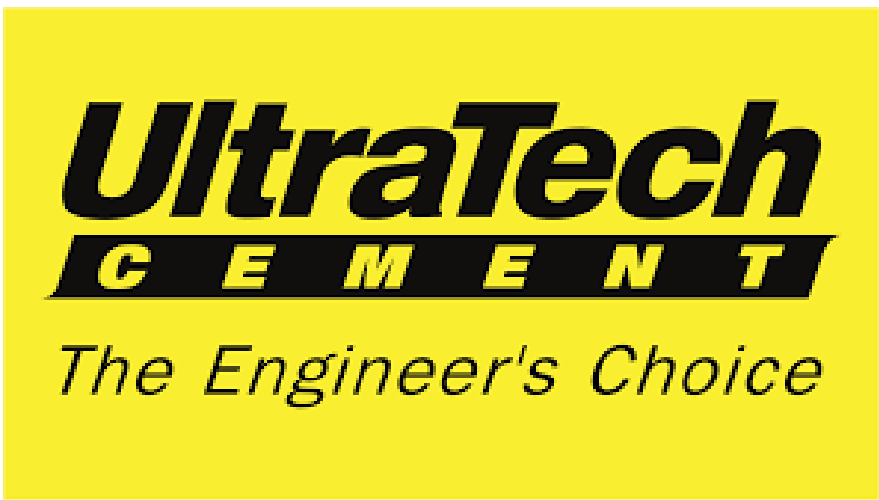
Market Size and Structure

The Indian cement industry is the **second-largest globally**, with an **estimated market size of ₹1.3-1.4 trillion in FY25** and **installed capacity exceeding 600 million tonnes per annum (MTPA)**. The industry is broadly classified into **grey cement (~95%) and white cement (~5%)**, with grey cement dominating **infrastructure and housing demand**.
The sector is characterized by high entry barriers due to **capital intensity, access to limestone reserves, regulatory approvals, and logistics requirements**. Demand is largely driven by **housing construction (~65-70%) and infrastructure projects (~25-30%)**.
Despite strong long-term fundamentals, the industry witnessed **subdued volume growth of 2-3% in FY25**, primarily due to **delayed government spending, weak urban housing demand, and rising input costs.**

Major Global Players

The global cement industry is moderately consolidated, with a handful of multinational players controlling a significant share of global capacity. Key global players include **Holcim Group, Heidelberg Materials, Cemex, CRH Plc, UltraTech Cement, and CNBM**. The top ten players collectively account for **nearly 45-50% of global installed capacity, underscoring economies of scale and pricing power advantages.**

These companies compete on **cost efficiency, access to limestone reserves, logistics optimization, and increasingly on sustainability initiatives such as low-clinker cement, alternative fuels, and carbon capture technologies.**





Industry Structure and Competitive Positioning

Competitive Positioning of JK Cement

JK Cement operates in a **consolidating cement industry** characterized by aggressive capacity additions and acquisition-led expansion by large players. While **UltraTech Cement leads the market**, followed by the **Adani Group (ACC + Ambuja), Shree Cement and Dalmia Bharat**, the top five players together account for over **55%** of total industry capacity.

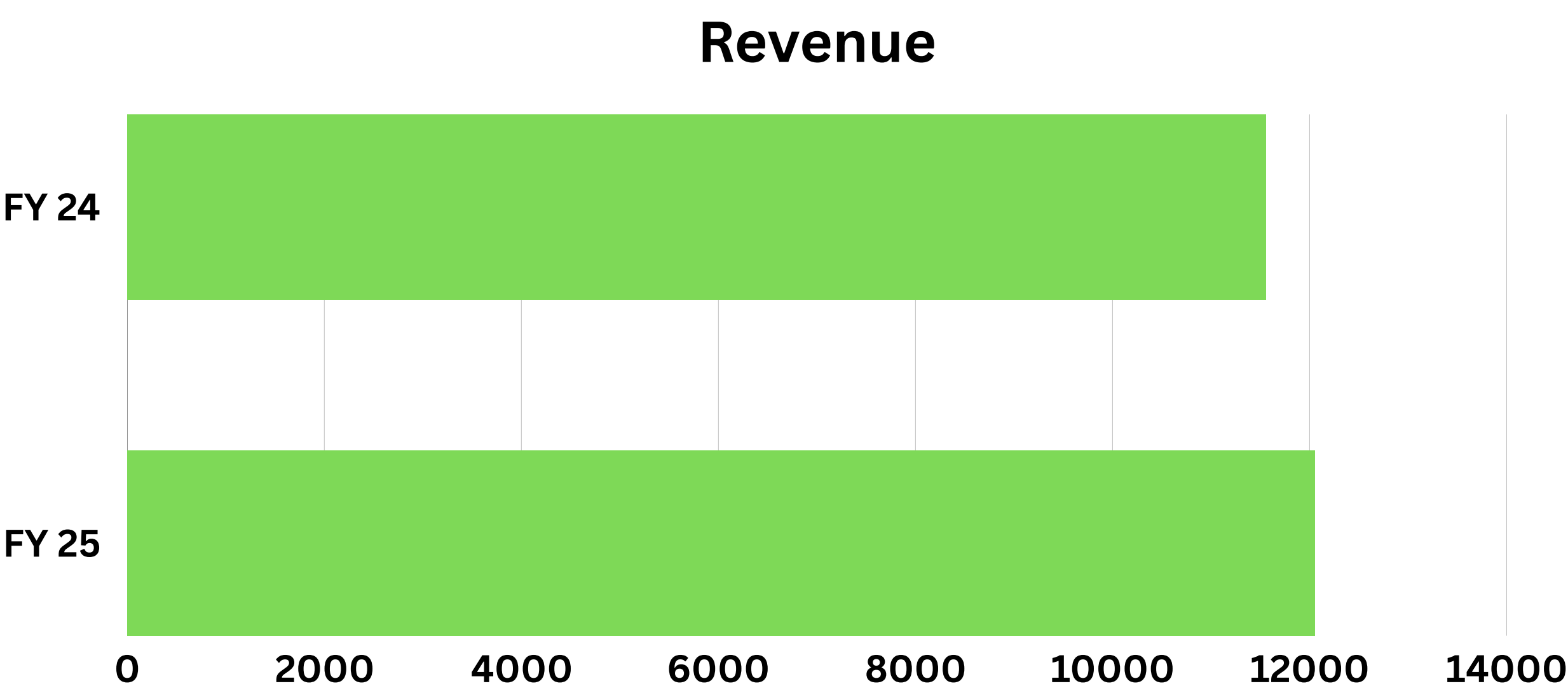
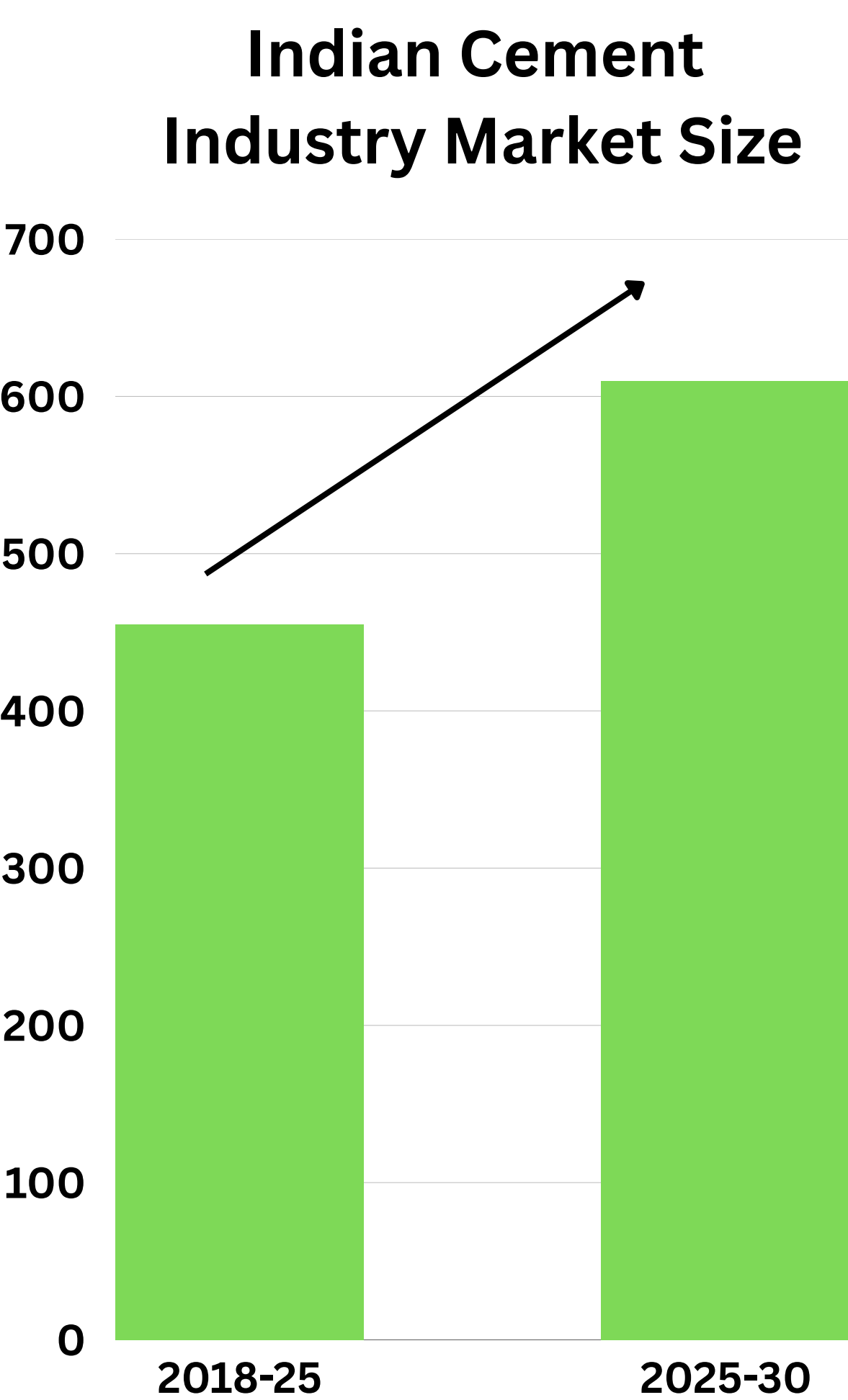
JK Cement maintains a strong competitive position through **regional strength in North and West India**, leadership in the **white cement segment**, and disciplined cost management. However, **heightened competitive intensity and supply additions** may exert pressure on pricing and margins in the near term.

Key Industry Risks

- **Demand-supply imbalance** may weaken **pricing power** and compress margins
- **Volatility in fuel, power, and freight** costs impacts EBITDA stability
- Aggressive capacity additions could create short-term **oversupply pressures**
- Delays in **infrastructure or housing activity** may moderate demand growth
- Intensifying competition may shift focus toward **market share** over margins

Cost Structure and Input Sensitivity

- **Power & fuel constitute 25-30%** of total production costs
- **Coal, pet coke and diesel** prices directly impact EBITDA margins
- **10% rise** in fuel costs may compress margins by **150-200 bps**
- Freight costs driven by **diesel prices and railway tariffs**
- **Pan-India** distribution increases logistics sensitivity
- **Cost efficiency and captive power** remain critical for stability





Financials

Profit & Loss											
											INR Cr
Report Date	Mar-20A	Mar-21A	Mar-22A	Mar-23A	Mar-24A	Mar-25A	Mar-26E	Mar-27E	Mar-28E	Mar-29E	Mar-30E
Sales	5,802	6,606	7,991	9,720	11,556	11,879	13829.49	16449.74	20559.07	28783.20	46087.23
Raw material cost	949	1,061	1,311	1,618	2,037	1,981	2440.93	2916.78	3702.53	5086.42	8262.89
Change in inventory	-78	13	-23	-25	-202	36	-154.88	-170.71	-223.79	-327.91	-580.15
Manufacturing Cost	1548.55	1649.52	2299.01	5322.67	5856.58	5757.75	7794.48	9866.50	12802.39	19012.23	32460.37
Gross Profit	3382.45	3882.48	4403.99	2804.33	3864.42	4104.25	3714.51	3773.61	4029.08	4418.72	4675.23
GPM	58.30%	58.77%	55.11%	28.85%	33.44%	34.55%	19%	9%	-6%	-39%	-113%
Employee Cost	455.46	462.42	558.57	637.63	783.50	901.62	998.77	1228.89	1592.90	2308.79	3787.50
Other Cost	1681.42	1836.47	2332.57	839.81	1009.99	1168.89	586.92	-177.60	-793.58	-2363.61	-5947.05
Other Income	53	67	112	75	129	269	261.72	366.98	541.48	862.40	1442.86
EBITDA	1298.57	1650.59	1624.85	1401.89	2199.93	2302.74	2411.15	2910.30	3766.65	4989.25	7853.31
EBITDA Margin	22%	25%	20%	14%	19%	19%	15%	14%	12%	7%	-4%
Interest	276	253	270	312	453	459	514.33	648.36	847.45	1174.41	1921.81
Depreciation	288	306	342	462	573	601	688.88	867.70	1097.77	1579.59	2589.63
PBT	734.57	1091.59	1012.85	627.89	1173.93	1242.74	1101.62	1299.28	1435.86	1810.33	2411.12
Tax	249.75	392.97	334.24	213.48	387.40	372.82	380.63	406.71	515.82	653.51	933.23
PAT	484.82	698.62	678.61	414.41	786.53	869.92	794.82	951.87	1240.04	1602.57	2413.82
NPM	8.36%	10.58%	8.49%	4.26%	6.81%	7.32%	5%	4%	2%	-1%	-9%
EPS in Rs	64.25	91.85	88.93	54.82	102.35	111.45	101.43	120.42	155.11	197.54	292.88
Dividend Payout %	12%	16%	17%	27%	20%	13%	0.18	0.15	0.08	-0.01	-0.16
Retained Earning	88%	84%	83%	73%	80%	87%	82%	85%	92%	101%	116%

Balance Sheet											
											INR Cr
Report Date	Mar-20A	Mar-21A	Mar-22A	Mar-23A	Mar-24A	Mar-25A	Mar-26E	Mar-27E	Mar-28E	Mar-29E	Mar-30E
Equity Capital	77	77	77	77	77	77	77	77	77	77	77
Reserves	2,950	3,659	4,248	4,607	5,290	6,012	6474.38	7669.86	9554.73	13291.75	20982.90
Equity %	35%	38%	38%	35%	36%	37%	36%	35%	35%	34%	32%
Borrowings	3,503	3,626	4,115	5,292	5,549	6,028	6755.84	7916.00	9359.75	12724.84	19707.07
Other Liabilities	2,011	2,509	2,963	3,331	3,886	4,564	4971.39	6011.26	7689.81	10998.50	17810.87
Debt %	65%	62%	62%	65%	64%	63%	64%	65%	65%	66%	68%
Total Liabilities	8,542	9,872	11,403	13,307	14,802	16,682	18296.55	21689.78	27040.49	37665.12	59766.46
Fixed Assets	5,554	5,937	6,544	8,467	9,298	9,519	10875.72	12797.11	15822.09	21567.13	33971.51
CWIP	530	509	1,032	592	464	1,317	1123.69	1227.51	1659.17	2556.61	3677.00
Investments	46	142	216	92	368	601	617.67	879.16	1332.70	2083.45	3711.11
Non-Current Assets %	72%	67%	68%	69%	68%	69%	68%	69%	68%	69%	69%
Inventories	690	757	1,209	974	1,182	1,175	1463.22	1624.00	1969.03	2665.29	4162.81
Trade receivables	268	362	427	480	566	787	827.33	1048.43	1409.40	2056.96	3454.22
Cash Equivalents	634	1,225	325	833	867	1,370	820.84	1089.60	1058.34	1125.99	792.18
Loans n Advances	130	141	227	240	183	320	317.26	359.55	456.70	641.71	966.99
Other asset items	690	800	1,424	1,628	1,874	1,593	2004.50	2299.15	2612.81	3320.29	4979.79
Current Assets %	28%	33%	32%	31%	32%	31%	32%	31%	32%	31%	31%
Total Assets	8,542	9,872	11,403	13,307	14,802	16,682	18296.55	21689.78	27040.49	37665.12	59766.46



Financials

Cash Flow Statement											
											INR Cr
Report Date	Mar-20A	Mar-21A	Mar-22A	Mar-23A	Mar-24A	Mar-25A	Mar-26 E	Mar-27 E	Mar-28 E	Mar-29 E	Mar-30 E
Cash from Operating Activity	1,367	1,593	878	1,377	1,959	1,939	2,116	2,618	3,444	4,613	7,420
Profit from operations	1,238	1,592	1,523	1,312	2,050	2,131	2,202	2,648	3,400	4,444	6,916
Receivables	-13	-98	-66	-49	-81	-225	-180	-257	-400	-634	-1,067
Inventory	-67	-66	-452	242	-203	6	-147	-93	-417	-637	-1,212
Payables	58	114	120	109	96	222	183	241	332	501	792
Loans Advances	0	0	0	0	0	0	0	0	0	0	0
Other WC items	303	248	-33	-74	251	6	36	76	86	24	-30
Working capital changes	282	197	-431	228	63	9	79	230	344	523	1,063
Direct taxes	-153	-196	-214	-162	-154	-200	-174	-164	-163	-162	-138
Other operating items	0	0	0	0	0	0	0	0	0	0	0
Cash from Investing Activity	-1,483	-1,348	-984	-1,964	-1,626	-1,890	-2,049	-2,292	-2,373	-2,960	-3,931
Fixed assets purchased	-1,250	-768	-1,554	-1,611	-1,173	-1,720	-1,669	-1,872	-1,825	-2,308	-2,712
Fixed assets sold	8	9	26	8	5	21	13	16	16	22	20
Investments purchased	-465	-611	-382	-653	-1,218	-1,612	-1,839	-2,506	-3,718	-5,684	-10,056
Investments sold	868	516	309	775	954	1,398	1,537	2,040	2,801	4,322	7,484
Interest received	28	74	92	57	95	163	145	195	272	405	652
Dividends received	0	0	0	0	0	0	0	0	0	0	0
Inter corporate deposits	0	0	0	0	0	0	0	0	0	0	0
Other investing items	-671	-568	525	-541	-289	-141	-236	-449	-568	-718	-1,313
Cash from Financing Activity	-108	-137	62	741	-416	74	-34	-259	-365	-755	-1,379
Proceeds from shares	0	0	0	0	0	0	0	0	0	0	0
Proceeds from borrowings	686	593	944	1,622	1,029	1,407	1,668	1,889	1,943	2,619	3,694
Repayment of borrowings	-375	-473	-481	-466	-886	-709	-881	-1,108	-1,462	-2,052	-3,365
Proceeds from deposits	0	0	0	0	0	0	0	0	0	0	0
Investment subsidy	0	0	0	0	0	0	0	0	0	0	0
Interest paid fin	-251	-252	-268	-294	-432	-440	-490	-613	-807	-1,111	-1,815
Dividends paid	-163	0	-116	-116	-116	-154	-165	-212	-268	-395	-655
Financial liabilities	-6	-2	-8	-5	-11	-30	-31	-45	-70	-114	-196
Other financing items	0	-2	-10	0	0	0	1	6	11	21	43
Net Cash Flow	-225	108	-44	154	-83	123	-89	-95	-340	-607	-1,266



Financial Health Evaluation

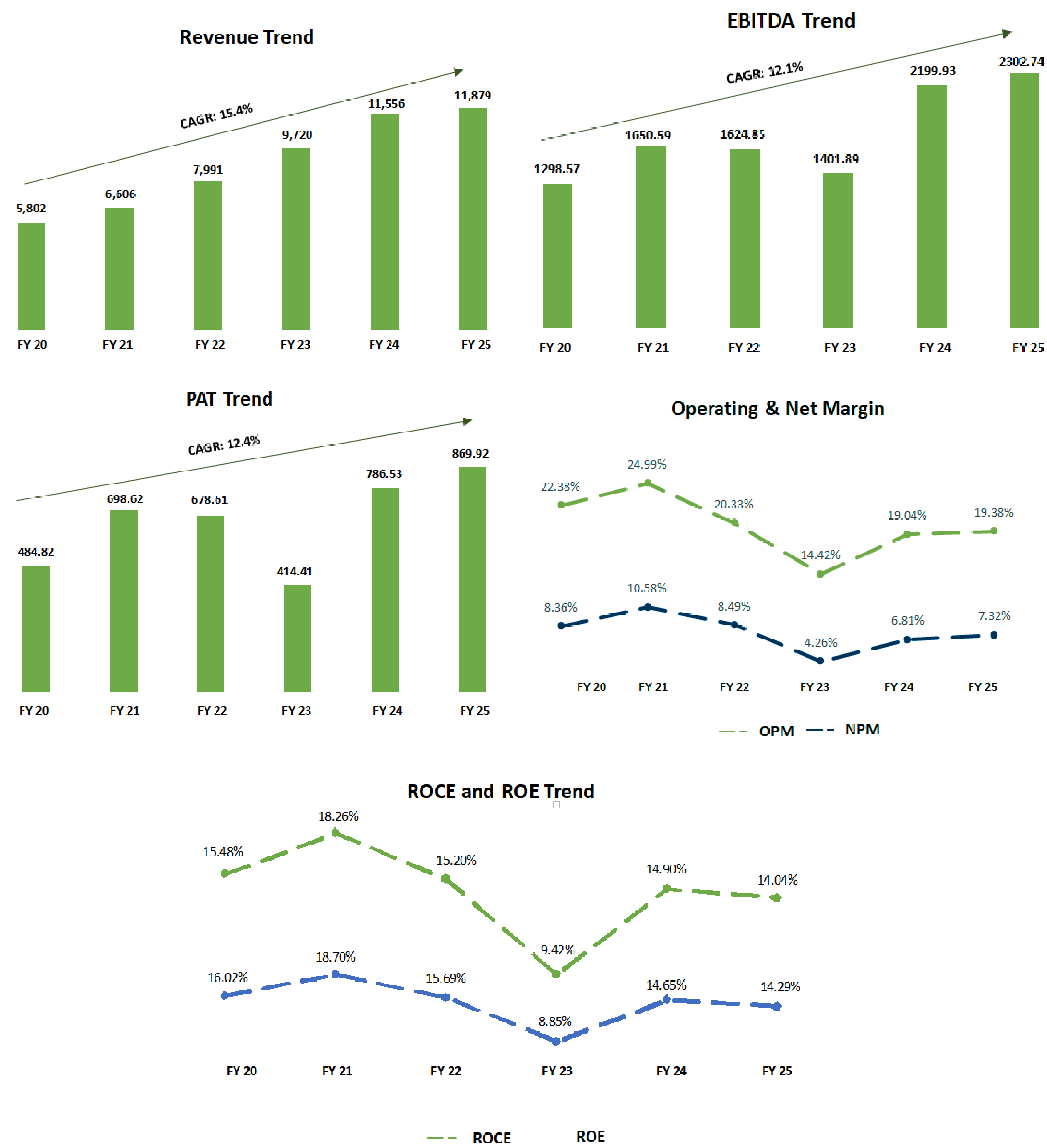
Ratio Analysis

Years	Mar-20A	Mar-21A	Mar-22A	Mar-23A	Mar-24A	Mar-25A	Mar-26E	Mar-27E	Mar-28A	Mar-29E	Mar-30E	Trend	Median
Sales growth	15.81%	13.86%	20.97%	21.64%	18.89%	2.80%	16.42%	18.95%	24.98%	40.00%	60.12%		18.95%
EBITDA growth	49.10%	17.35%	(1.56%)	(13.72%)	56.93%	4.67%	4.71%	20.70%	29.42%	32.46%	57.40%		20.70%
EBIT Growth	61.30%	33.05%	(4.59%)	(26.73%)	73.10%	4.60%	1.21%	18.60%	30.66%	27.76%	54.38%		27.76%
PAT Growth	23.10%	44.10%	(2.86%)	(38.93%)	89.80%	10.60%	(8.63%)	19.76%	30.27%	29.23%	50.62%		23.10%
GPM	58.30%	58.77%	55.11%	28.85%	33.44%	34.55%	26.86%	22.94%	19.60%	15.35%	10.14%		28.85%
EBITDA Margin	22.38%	24.99%	20.33%	14.42%	19.04%	19.38%	17.43%	17.69%	18.32%	17.33%	17.04%		18.32%
EBIT Margin	17.42%	20.35%	16.05%	9.67%	14.08%	14.33%	12.45%	12.42%	12.98%	11.85%	11.42%		12.98%
EBT Margin	12.66%	16.52%	12.67%	6.46%	10.16%	10.46%	8.73%	8.48%	8.86%	7.77%	7.25%		8.86%
NPM	8.36%	10.58%	8.49%	4.26%	6.81%	7.32%	5.75%	5.79%	6.03%	5.57%	5.24%		6.03%
ROCE%	15.48%	18.26%	15.20%	9.42%	14.90%	14.04%	12.94%	13.04%	14.05%	13.07%	12.91%		14.04%
ROE%	16.02%	18.70%	15.69%	8.85%	14.65%	14.29%	12.13%	12.29%	12.87%	11.99%	11.46%		12.87%
Interest Coverage Ratio	3.66	5.31	4.75	3.01	3.59	3.71	3.35	3.15	3.15	2.90	2.74		3.35
Debtor Turnover Ratio	21.65	18.25	18.71	20.25	20.42	15.09	16.72	15.69	14.59	13.99	13.34		16.72
Creditor Turn	0.47	0.42	0.44	0.49	0.52	0.43	0.49	0.49	0.48	0.46	0.46		0.47
Fixed Asset Turnover	1.04	1.11	1.22	1.15	1.24	1.25	1.27	1.29	1.30	1.33	1.36		1.25
Capital Turnover Ratio	0.89	0.90	0.95	0.97	1.06	0.98	1.04	1.05	1.08	1.10	1.13		1.04
Debtor Days	16.86	20.00	19.50	18.02	17.88	24.18	21.84	23.26	25.02	26.08	27.36		21.84
Payable Days	773.46	863.13	824.94	751.43	696.31	840.92	743.39	752.24	758.07	789.25	786.77		773.46
Inventory Days	265.38	260.42	336.60	219.72	211.80	216.49	218.80	203.22	194.11	191.26	183.89		216.49
Cash Conversion Cycle (in days)	-491.22	-582.71	-468.83	-513.68	-466.64	-600.24	-502.75	-525.75	-538.94	-571.90	-575.52		-502.45
CFO/Sales	23.56%	24.11%	10.99%	14.17%	16.95%	16.32%	15.30%	15.92%	16.75%	16.03%	16.10%		16.10%
CFO/TA	16.00%	16.14%	7.70%	10.35%	13.23%	11.62%	11.57%	12.07%	12.74%	12.25%	12.42%		12.25%
CFO/TD	39.02%	43.93%	21.34%	26.02%	35.30%	32.17%	31.33%	33.07%	36.79%	36.25%	37.65%		35.30%
Debt to Equity	1.16	0.97	0.95	1.13	1.03	0.99	1.03	1.02	0.97	0.95	0.94		0.99
Current Ratio	1.31	1.72	1.37	1.24	1.34	1.25	1.66	1.74	1.83	1.87	1.94		1.66



Financial Highlights

Operational Metrics





Discounted Cash Flow Valuation - WACC

Cost of Debt

Pre-Tax Cost of Debt	8.2718%
Tax Rate	30.00%
Post Tax Cost of Debt	5.79%

Cost of Equity (CAPM)

Risk Free Return (10y Govt Bond)	6.32%
Equity Risk Premium (Over Nifty 50)	6.50%
Levered Beta	0.65
Cost of Equity	10.55%

Weighted Average Cost of Acquisition

Industry Debt/Equity	0.6
Debt Weight	37.50%
Equity Weight	62.50%
Company's D/E	1
Debt Weight	50.00%
Equity Weight	50.00%
Type of Company	Stable Growth Experienced Company
Equity Weight	50.00%
Cost of Equity	10.55%
Debt Weight	50.00%
Cost of Debt	5.79%
WACC	8.17%



Intrinsic Value - FCFF

Historical Free Cash Flow to Firm					
Particulars	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Cash Flow from Operations	1,593	878	1,377	1,959	1,939
Plus Interest (1-Tax Rate)	0	0	0	0	0
Less Capex	-759	-1528	-1603	-1168	-1699
FCFF	834	-650	-226	791	240

Historical FCFF CAGR **-26.76%**

Future Expected FCFF Growth Rate **5%**

Long Term Sustainable Growth Rate **5.0%**

WACC **8.17%**

Projected Free Cash Flow to Firm					
Particulars	Mar-26	Mar-27	Mar-28	Mar-29	Mar-30
FCFF	252	264.6	277.83	291.722	306.308

Discount Factor 0.92449 0.85468 0.79015 0.73048 0.67533

Discounted Cashflow Valuation	
NPV of FCFF	1098.603401
Terminal Value	10153.46967
Present Value of Terminal Value	6856.905762
PV of Enterprise Value	7955.509163
Less Debt	6,028
Add Cash & Cash Equivalents	1,370
Value of Equity	3297.509163
Current Market Capitalisation	43000
Current Market Price	5675
Intrinsic Value per Share (₹)	435
Upside/Downside Potential (%)	-92%



Intrinsic Value - FCFE

Historical Free Cash Flow to Equity					
Particulars	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Cash Flow from Operations	1,593	878	1,377	1,959	1,939
Plus Net Borrowing	123	489	1,177	257	479
Less Capex	-759	-1,528	-1,603	-1,168	-1,699
FCFE	957	-161	951	1048	719

Historical FCFE CAGR	-6.90%
Future Expected FCFE Growth Rate	5%
Long Term Sustainable Growth Rate	4.5%
WACC	10.55%

Projected Free Cash Flow to Equity					
Particulars	Mar-26	Mar-27	Mar-28	Mar-29	Mar-30
FCFE	754.95	792.7	832.33	873.95	917.65

Discount Factor	0.9046	0.8183	0.7403	0.6696	0.6058
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Discounted Cashflow Valuation	
NPV of FCFE	3088.865468
Terminal Value	15939.26825
Present Value of Terminal Value	9655.457565
PV of Equity	12744.32303
Current Market Capitalisation	43000
Current Market Price	5675
Intrinsic Value per Share (₹)	1682
Upside/Downside Potential (%)	-70%



Governance



Dr. Raghvpat Singhania,
Designation - Executive, Non Independent Director
Aged 39 is the Managing Director of JK Cement and a seasoned leader in the building materials industry, leading business transformation and accelerated growth, and also serves as Managing Director of JK Cement Works (Fujairah), UAE, and JK Maxx Paints Ltd. An alumnus of Sheffield Hallam University, UK, and INSEAD, France, he is deeply committed to ethical leadership, education, youth skill development, and is actively involved in industry and social initiatives, reflecting his belief in nation building through education.



Mr. Madhavkrishna Singhania
Designation - Executive, Non Independent Director
Aged 35, is the Deputy Managing Director & CEO of JK Cement. A technocrat educated at Carnegie Mellon University and IMD Lausanne, he has led major capacity expansions and driven technology, automation, and sustainability initiatives. He was instrumental in setting up JK Cement’s Fujairah plant, expanding global presence, and leads the company’s entry into the paints business through JK Maxx Paints.



Shri Ajay Kumar Saraogi
Designation - Executive, Non Independent Director
Aged 67, he is the Deputy Managing Director & CFO of JK Cement with over 45 years of extensive experience in finance and commercial management, associated with the company since its inception and playing a key role in fund mobilisation and maintaining strong financial discipline as part of the core management team. He holds a BA (Hons.) in Economics from Shri Ram College of Commerce, Delhi University, and an LLB from Kanpur University, and continues to contribute to the company’s long-term growth with over four decades of experience in the cement industry.



Mr. Ashok Sinha
Designation - Executive, Non Independent Director
An alumnus of IIT Kanpur (B.Tech. in Electrical Engineering) and IIM Bangalore (PGDBM in Finance), and a Distinguished Alumnus Award recipient from both institutions, he brings over three decades of leadership experience from Bharat Petroleum Corporation Ltd. (BPCL), where he served as Director (Finance) and Chairman & Managing Director. Recognised for excellence in finance and management, including the India CFO Award, he currently serves as an Independent Director on the boards of Cipla, Tata Power, Tata Communications, and Navin Fluorine.



Mr. Saurabh Chandra
Designation - Executive, Non Independent Director
Aged 68, is a Non-Executive Independent Director and a Distinguished Alumnus of IIT Kanpur (B.Tech). He retired as Secretary to the Government of India in the Ministry of Petroleum & Natural Gas and earlier served as Secretary, DIPP, Ministry of Commerce & Industry. He brings extensive experience in policy formulation across oil & gas, industry, FDI, and manufacturing, and currently serves as Independent Director on the boards of SBI Pension Funds Pvt. Ltd. and Vacmet India Limited.



Governance



Mrs. Sushila Devi Singhania

Designation - Chairperson Non-Executive, Non- Independent Director

Scion of renowned Jalan family representing Surajmall Nagarmall group, famous industrial house. She is having keen interest in industry and commerce. She is a member of Managing Committee of Seth Anandram Jaipuria School, Kanpur, President of Juhari Devi Girls Inter College, Kanpur and President of Juhari Devi Girls Post Graduate College, Kanpur. She has been actively associated with programmes for welfare and upliftment of economically weaker sections, children and women and also with religious activities. She is acting as Director of M/s. Yadu International Ltd



Mr. Sudhir Jalan

Designation - Non Executive, Non-Independent Director

He is a Commerce graduate and MBA, and a prominent businessman with diversified interests. He serves as Chairman and Managing Director of Meenakshi Tea Co. Ltd., and holds directorships in several public and private companies. He has held leadership roles including President of AIMA and ICC India, and former President of FICCI. He has served on the Board of IIM Kolkata, is the Honorary Consul General of Greece in Kolkata, and is actively associated with various charitable institutions.



Mr. Satish Kumar Kalra

Designation - Executive, Independent Director

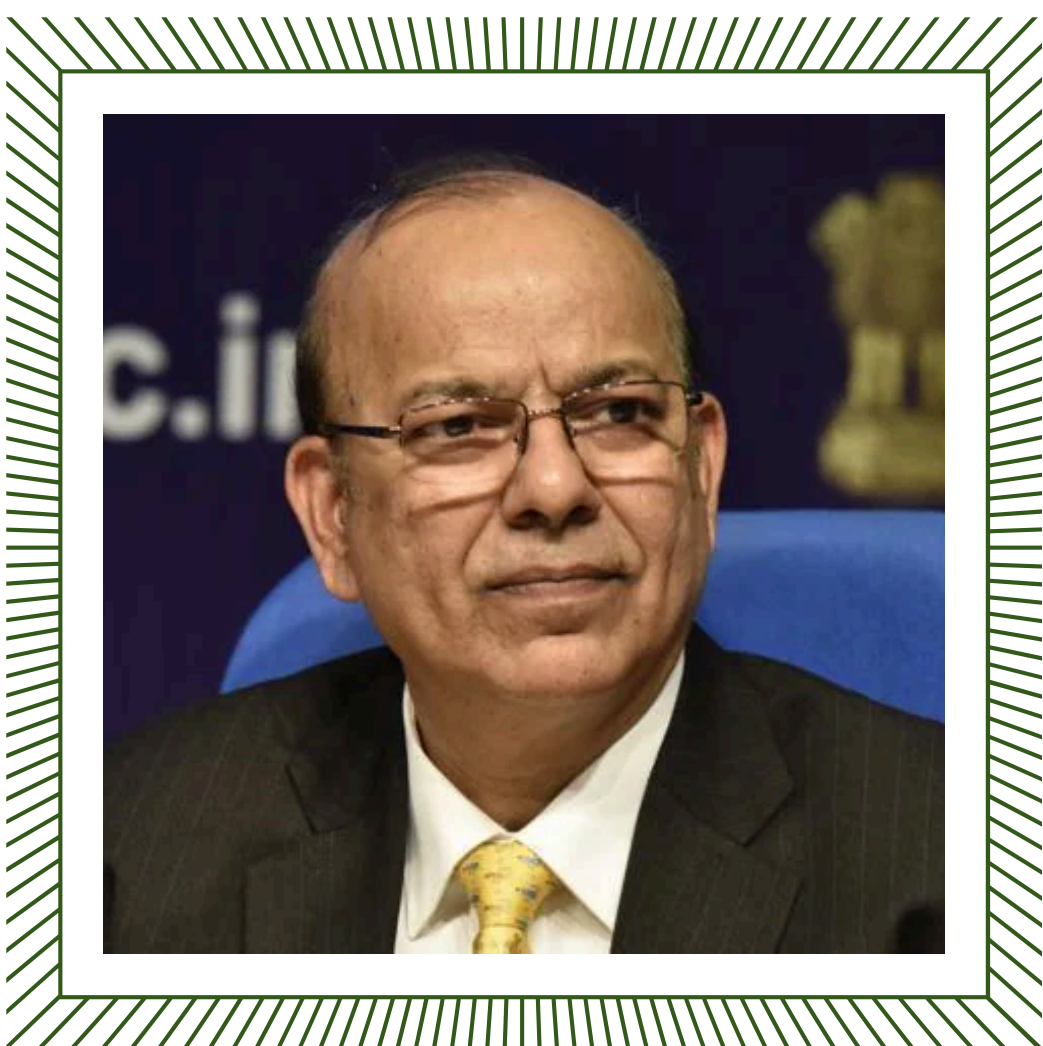
He is an M.Sc., CAIIB, and PGDM (Finance) professional with over 40 years of experience in banking and NBFCs. He has held key leadership positions including General Manager (Treasury) at Allahabad Bank and Executive Director at Andhra Bank, where he also served as MD & CEO (additional charge). He has been associated with several financial institutions as a board member and independent director, and has contributed in areas such as treasury, credit, corporate planning, and risk management. He was appointed as MD & CEO of North East Small Finance Bank effective 14 February 2024.



Mr. Mudit Aggarwal

Designation - Non Executive, Independent Director

He possesses degree in Bachelor of Science (Double Major in electrical and computer engineering and business administration) from Carnegie Melon University - USA and also holds Diploma from Indian Institute of Management - Ahmedabad (IIM-A) on revenue management and dynamic pricing in 2015. He is a dynamic corporate leader with deep experience across the manufacturing, retail and hospitality sector. Mudit’s career reflects a track record in leading successful transformation initiatives and creating enabling environments within large companies that allow the creation of new ideas and business lines



Mr. Ajay Narayan Jha

Designation - Non Executive, Independent Director

He is MA in History with First Class from St. Stephen’s College, Delhi University, MA in Economic Policy Management from McGill University, Montreal, Quebec, Canada and M.Phil in Public Administration from Indian Institute of Public Administration, New Delhi. He held various important positions with Government of India viz. Member, Fifteenth Finance Commission, Finance Secretary, Ministry of Finance, Government of India, Secretary, Ministry of Finance, Department of Expenditure, Secretary, Ministry of Environment, Forest & Climate Change to name a few. Earlier he held important position with Govt. of Manipur also



Environmental Analysis

JK Cement is committed to building a **sustainable future** and preserving the environment through a **stringent eco-friendly policy**. Along with regular technology upgrades for **emission reduction, effluent management, and energy efficiency**, the company actively partners with local administrations near its plants to undertake **afforestation and plantation drives**. JK Cement is also a member of the **Indian Green Building Council** and **prioritises water conservation, harvesting, and management in the water-scarce state of Rajasthan**.

In 2024, JK Cement reported total carbon emissions of approximately **13.1 billion kg CO₂e**, including **10.3 billion kg** from Scope 1, **368.6 million kg** from Scope 2, and **2.5 billion kg** from Scope 3 emissions, reflecting transparency across all emission scopes.

The company has set ambitious climate targets, aiming to reduce gross Scope 1 emissions by 20.4% and Scope 2 emissions by **44.7% per tonne of cementitious products by 2030, using 2020 as the base year**. These targets are aligned with the **Science Based Targets initiative (SBTi)** and **support JK Cement’s long-term goal of achieving net-zero emissions by 2050**.

JK Cement has already achieved a **17%** reduction in carbon emissions intensity, lowering it from 680 kg CO₂ per tonne in 2020 to 565 kg CO₂ per tonne, highlighting its sustained efforts toward decarbonisation in the cement industry.

Key Business Policies (Climate Action)

JK Cement has adopted **Climate Change, Biodiversity, Environmental, Water Management, Circular Economy, and ESG policies**, embedding **sustainability** into its **core** business operations. These policies are publicly available on the company’s website for stakeholders, including investors and value chain partners.

Certifications and Awards (Climate Action)

JK Cement holds **ISO 50001, 9001, 45001, and ISO 14001** certifications across all its units and has aligned its climate risk management strategy with TCFD recommendations. The company has been recognized among **India’s Top 50 Sustainable Companies** by BusinessWorld and received the Forward Faster Sustainability Award 2025 (Climate Action) from **UNGCNI**.

Its **Muddapur plant** has achieved a **GreenCo Platinum rating**, while the **Mangrol and Nimbahera units hold GreenCo Gold and Silver ratings**, respectively. Additionally, JK Cement **improved its DJSI score from 47 in FY21 to 70 in FY24 and maintained a CDP ‘B’ rating in FY25**, reinforcing its leadership in climate action.



Social Analysis

At **JK Cement**, the company is committed to the **holistic development** of the communities in which it operates, recognising that shared progress leads to shared success. This belief forms the foundation of its **Corporate Social Responsibility (CSR)** initiatives.

JK Cement's CSR efforts are aligned with key **national priorities** such as **public health and sanitation, education, employment generation, and access to clean water**. Through focused and sustained interventions, the company has **positively impacted** numerous families and communities. Its initiatives include the **development of schools, colleges, training institutes, hospitals, temples, and other social infrastructure**. Guided by an in-house policy for **social upliftment**, JK Cement continues to implement comprehensive outreach programmes spanning **social, charitable, healthcare, educational, and religious initiatives**.

CSR Initiatives Implemented

YPS – Education Upliftment Programme

The programme provides **vocational training** and **skill development** at the company's **ITI institute in Nimbahera, Rajasthan**. Meritorious students from nearby government schools are felicitated and supported with **mobile tablets and financial incentives**.

YPS – Health & Sanitation Mission (YPS-HSM)

Under this initiative, JK Cement has donated **oxygen concentrators** to **district hospitals and conducted vaccination drives at plant locations and nearby villages**. An oxygen generation and filling plant (80 m³/hr capacity) is being installed. The company has also donated two **ambulances** in **Amanganj and Simariya**, operationalised a **Mobile Medical Unit** for health services, and **installed sanitary pad vending and incinerator machines** in government girls' schools to promote **hygiene**.

YPS – Drinking Water Project (YPS-DWP)

The project includes **hydrological and hydrogeological surveys, installation of RO plants** for safe drinking water, and **restoration of local water bodies** through pond deepening in villages surrounding plant locations.

Commitment to Sustainability

JK Cement has adopted **Science-Based Targets Initiative (SBTi)**–aligned goals, committing to a **21.7%** reduction in specific gross **CO₂ emissions by 2030 against a 2020 baseline**. These targets, **validated by SBTi**, reflect the company's strong commitment to **climate action**. JK Cement has already achieved a **16.3%** reduction by H1 FY24 and is on track to exceed its FY25 reduction target of **7.2%**.



ACKNOWLEDGEMENT

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